

with any market, where the bid and ask meet is where the price is set.

Mathematically Metered Supply

One of the keys to supporting bitcoin's value was its issuance model. Recall from Chapter 2 that miners—the people running the computers building Bitcoin's blockchain—are paid each time they append a block of transactions. They are paid in new bitcoin created by a *coinbase transaction* that is included in each block.⁹ For the first four years of Bitcoin's life, a coinbase transaction would issue 50 bitcoin to the lucky miner. The difficulty of this proof-of-work process was recalibrated automatically every two weeks with the goal of keeping the amount of time between blocks at an average of 10 minutes.¹⁰ In other words, 50 new bitcoin were released every 10 minutes, and the degree of difficulty was increased or decreased by the Bitcoin software to keep that output time frame intact.

In the first year of bitcoin running, 300 bitcoin were released per hour (60 minutes, 10 minutes per block, 50 bitcoin released per block), 7,200 bitcoin per day, and 2.6 million bitcoin per year.

Based on our evolutionary past, a key driver for humans to recognize something as valuable is its scarcity. Satoshi knew that he couldn't issue bitcoin at a rate of 2.6 million per year forever, because it would end up with no scarcity value. Therefore, he decided that every 210,000 blocks—which at one block per 10 minutes takes four years—his program would